finance banks or converted into non-banks. The payment banks experiment has also proved to be quite unsuccessful as the model is fundamentally flawed. There is not much income in the payments only business and the establishment expenditure of maintaining a brick-and-mortar payments bank (like the Postal Payment Bank) is too high. They should be converted into small finance banks or digital payment non-bank companies. The government and RBI should provide banking licences on tap to financial corporate companies like NBFCs, insurance companies, housing companies and other financial powerhouses. It is not advisable to give banking licences to industrial houses as it would lead to a conflict of interest with the same people being on both sides of the business.

Third, banking laws and regulations need to be streamlined. The two Bank Nationalization Acts—the Banking Companies (Acquisition and Transfer of Undertakings) Act 1970 and 1980—should be repealed. Likewise, the SBI Act, 1955, should be repealed and SBI, like all other banks, should be corporatized under the Companies Act and face a similar regulatory regime as private banks. Depositors should have the opportunity to seek insurance of their deposits beyond the limits covered by the Deposit Insurance and Guarantee Corporation by paying an additional premium. The government should cease to have any power of licencing and terminating a bank. Banks should be solely supervised and regulated by RBI and any resolution, including liquidation, should be entrusted to a specialized agency like the one proposed in the Financial Resolution and Deposit Insurance Bill, though there is no need to merge the deposit insurance function with the financial resolution authority. IBC is entirely unsuitable for resolving financial entities, including banks.

Fourth, banks should cease to be vehicles for directed lending programmes and implementation of the government’s subsidy programmes. The whole premise of directed lending programmes, like priority-sector reservations of credit, is based on the foundation that these are not normally